

FREE RESOURCE // THE MASTER OF MUSIC INDUSTRY

The 360 Deal Decoded: What You're Really Signing

Labels present 360 deals as standard. They are not standard — they are highly negotiable. Before you sign, you need to understand exactly what you are giving up, what you might get in return, and which terms you should fight for.

// WHAT IS A 360 DEAL?

A 360 deal (also called a "multiple rights deal") is a record contract in which the label takes a percentage of ALL of your revenue streams — not just recorded music sales and streams, but also:

- Touring and live performance income
- Merchandise sales
- Endorsement and brand deal income
- Acting and TV/film appearance fees
- Book deals and speaking engagements
- Fan club and direct-to-fan income
- Publishing royalties (in some deals)
- Sync licensing fees

Labels began pushing 360 deals in the mid-2000s as streaming collapsed recorded music revenue. Their argument: "We invest in building your career across all areas, so we should share in all the rewards." That argument has merit — and limits.

// WHAT THEY TYPICALLY TAKE

Revenue Stream	Typical Label Cut	Negotiable?
Recorded music royalties	80-85% (label keeps)	Somewhat
Touring income	10-25%	Yes

Merchandise	10-30%	Yes
Endorsements	10-25%	Yes
Publishing	50% (if included)	Fight hard here
Sync licensing	25-50%	Yes

// WHAT YOU GET IN RETURN (IN THEORY)

A 360 deal should come with meaningful investment. If a label is taking a cut of your touring income, they should be:

- Funding your recording, production, and mixing costs
- Providing a marketing budget for releases
- Booking promotional appearances and media
- Connecting you with their touring and sponsorship networks
- Providing dedicated A&R; support and artist development
- Fronting the advance that you will repay through recoupment

If a label offers a 360 deal with a small advance and minimal marketing commitment, you are being asked to give away a significant portion of your future income in exchange for very little. Walk away or negotiate hard.

// THE TERMS YOU MUST NEGOTIATE

1

Carve Out Publishing Entirely

Publishing is where generational wealth is built. Fight to keep 100% of your publishing. If they insist, limit it to a co-publishing deal (they get 50% of their 50% share — not 50% of everything).

2

Cap the Touring Percentage

The label did not book your shows. If touring is included, negotiate it down to 10% maximum and only after a threshold (e.g., only on tours grossing over \$100,000).

3

Sunset Clauses on 360 Provisions

Push for the 360 provisions to expire after a set period — 5-7 years — or after the advance is recouped. They should not take a cut of your touring income for life.

4

Define "Net" Clearly

"Net" touring income after agent fees, manager fees, production costs, and travel is very different from gross income. Make sure the contract specifies net — and defines it precisely.

5

Reversion of Masters

Negotiate for your masters to revert to you after a set period (7-10 years) or if the label fails to meet release or marketing obligations.

6

Creative Control Clauses

Protect your right to approve final mixes, artwork, and marketing materials. Creative control provisions are often negotiable and critically important to long-term brand integrity.

"Never sign a 360 deal without an entertainment attorney reviewing every clause. The cost of a good lawyer is nothing compared to the cost of a bad contract."

CT REVIEW BEFORE YOU SIGN ANYTHING

Book a free 20-minute strategy call at themasterofmusic.com